UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

ANNUAL REPORT & FINANCIAL STATEMENTS

AT

30 JUNE 2018

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

ANNUAL REPORT & FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2018

UCHUMI SUPERMARKETS PLC
(Under Company Voluntary Arrangement)
ANNUAL REPORT & FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2018

COMPANY INFORMATION

DIRECTORS

John Karani	Chairperson
Timothy Kabiru	
Ministry of Trade	Ambrose Ongango
Industrial and Commercial Development Corporation	Represented by Kennedy Wanderi
Fred Rabongo	Appointed 2018
Baiju Shah	Appointed 01.05.2018
George Karanja	Appointed 01.05.2018
Yesse Oenga	Appointed 2018
Mohamed Mohamed	Appointed 2018 Resigned 2022
John Mwara	Appointed August 2023
Lawrence Ngao	Chief Executive Officer - Appointed Feb 2024
Dr. Catherine Ngahu	Resigned in 2018
Dr. Julius Kipngetich	Resigned in 2018
Louis Onyango Otieno	Resigned in 2018
Margaret Kositany	Resigned in 2018
Glory Mukiri Kiogora	Resigned in 2018

PRINCIPAL PLACE OF BUSINESS
Langata Hyper Mall, Carnivore Road
PO Box 73167 - 00200
Nairobi.

AUDITORS
Mugo Waweru & Associates
Certified Public Accountants of Kenya
Brunei House, 2nd Floor
P O Box 27705-00506
Nairobi.

REGISTRARS
Central Depository & Settlement Corporation (CDSC)
10th Floor, Europa Towers;
Lantana Road, off Rhapta Road, Westlands,
P.O Box 3464 - 00103
Nairobi.

REGISTERED OFFICE
Langata Hyper Mall, Carnivore Road
PO Box 73167 - 00200
Nairobi.

COMPANY SECRETARY
CS. Judith Matata

COMPANY INFORMATION (CONTINUED)

BANKERS

Kingdom Bank Limited
Argwings Kodhek Close
P.O. Box 22741-00400
Nairobi

KCB Bank Kenya Limited
Kencom House
Moi Avenue
P.O. Box 48400 - 00100
Nairobi

Equity Bank Limited
NHIF Building
Upper Hill Road
P.O. Box 75104 - 00200
Nairobi

Co-operative Bank of Kenya Limited
Nairobi Business Centre
Haile Selassie Avenue
P.O. Box 19555
Nairobi

UBA Kenya Bank Limited
2nd Floor, Imperial Court Westlands
P O Box 31154-00100 - 00100
Nairobi

REPORT OF THE DIRECTORS

The Directors submit their Report and the Audited Consolidated and Separate Financial Statements for the year ended 30 June 2018 which discloses the state of affairs of Uchumi Supermarkets Plc (formerly Uchumi Supermarkets Limited) the "Company" and its subsidiaries, together the "Group".

1. Principal activities

The principal activity of the Company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in Note 22 to the Financial Statements.

2. Results

The Group's and the Company's results are set out on pages 10 and 11 respectively.

3. Dividend

The Directors do not recommend payment of a dividend in respect to the year ended 30 June 2018 (2017 – Nil).

4. Shareholding by Directors

The following Directors held the number of shares indicated below as at 30 June 2018.

Name	Number of Shares
Timothy Mwaniki	2,556,100
John Karani Ndiwa & Charles Thinwa	13,000
John Karani Ndiwa	4,184

5. Business Overview

a) General

The performance of the economy remained depressed. As a result, Uchumi Supermarkets Plc, like many other retail businesses in Kenya, faced serious profitability and liquidity issues. The projected business growth could not be realized because the following negative factors continued to plague the industry: -

- Lack of access to credit by suppliers;
- Entry of new players;
- Changing customer trends and preferences;

5. Business Overview (Continued)

a) General (Continued)

- Saturation of shopping malls within the same locality;
- Reduced purchasing power of consumers; and
- Political factors amongst others.

The Group's turnaround strategy revolved around the sale of the Kasarani Mall Limited's Investment Property for an estimated Kshs. 2.8 billion, receipt of the Government of Kenya loan of Kshs. 1.8 billion, that had been approved by Cabinet and the receipt of Kshs. 3.5 billion from a Strategic Investor. The shareholders had resolved that the Investment Property be sold to facilitate an out of court settlement of the Group's legal dispute with Sidhi Investments Ltd.

The Government of Kenya released Kshs. 1.2 billion, in two tranches. The amount of Kshs. 0.6 billion that was initially intended for the Group's operations in Tanzania was withheld because the operations had already shut down. The sale of the Investment Property did not materialize. The expected Strategic Investor pulled out in December 2017.

The second and last disbursement of the Government of Kenya loan in the sum of Kshs. 700 million was received in December, 2017 and was utilized in Stocking (61%), Operational Expenses (5%), Staff Costs(19%), Rent (14%)and Marketing (1%).

b) Financial Performance

The Group recorded a significant decrease in revenue. The Sales were Kshs. 847.6 million (2017: Kshs. 2.59 billion). The drop was 67%. The downturn was largely attributable to low working capital in the Group's core revenue streams.

As a result of reduced sales, the Gross Profit was KShs 145.3 million. A sharp decrease from Kshs 449.1 million in the previous year. Other income also decreased to KShs 107.9 million (2017: KShs 458.5 million). The total income was Kshs. 253.2 million (2017: Kshs. 907.7 million).

Operating expenses were Kshs. 1.64 billion (2017: KShs 2.21 billion). Staff and Administrative costs represented 89.7% of the total expenditure. The Group posted an operating loss of KShs 1.38 billion (2017: KShs 1.30 billion). The total comprehensive loss for the year was KShs. 1.73 billion (2017: Kshs, 1.39 billion).

5. Business Overview (Continued)

b) Financial Performance (Continued)

As at 30th June 2018, the Group's total assets amounted to KShs 3.92 billion (2017: KShs 4.33 billion). The total liabilities were Kshs. 9.06 billion (2017: KShs 7.74 billion). The net working capital was negative Kshs. 7.45 billion (2017: Kshs. 6.17 billion). The Group's Shareholders' Fund was a deficit of Kshs. 5.15 billion (2017: (Kshs. 3.42 billion).

c) Going Concern

Creditors continued to exert pressure on the Company over long outstanding debts. A number of trade creditors and landlords filed court cases against the Company.

Business continuity remained a major challenge due to persistent operating losses and a negative working capital.

The Company commenced negotiations with creditors over debt restructuring under a Company Voluntary Arrangement. Management actively pursued cost rationalization initiatives with a view to cutting down operating losses and strengthening of the company's financial position. In the process, eleven branches were closed.

6. Employees

The Directors are pleased to record their appreciation for the untiring efforts of all employees of the Group. The average number of employees in 2018 was 728 (2017 – 1,446).

7. Directors remuneration

Director's remuneration for the year ended 30 June 2018 was KShs 17,541,061 (2017 – KShs 35,231,486). These sums remain as part of the payables.

8. Relevant audit information

The Directors in office at the date of this report confirm that:

(i) There is no relevant audit information of which the Group and Company's auditor is unaware; and

(ii) Each of the Directors have taken all the steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Group and Company's auditor is aware of that information.

9. Financial statements

At the date of this report, the Directors were not aware of any circumstances which would have rendered the values attributed to assets and liabilities in the financial statements of the Group and Company misleading.

10. Auditors

The Company's auditors, Mugo Waweru & Associates, have expressed their willingness to continue in office in accordance with the requirements of the Kenyan Companies Act, 2015.

11. Approval of financial statements

The financial statements were approved at the meeting of the Board of Directors held on 30th May, 2025.

BY ORDER OF THE BOARD

COMPANY SECRETARY

Date :

UCHUMI SUPERMARKETS PLC

Under Company Voluntary Arrangement

ANNUAL REPORT & FINANCIAL STATEMENTS FOR THE YEAR ENDED 30TH JUNE, 2018

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the financial statements of Uchumi Supermarkets PLC set out on pages 10 to 58, which comprise the consolidated and company statements of financial position as at 30 June 2018, and the consolidated and company statements of profit or loss and other comprehensive income, statements of changes in equity, and statements of cash flows for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

The directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Repo1ting Standards and in the manner required by the Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Companies Act, 2015 the directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

The directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act, 2015. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of its operating results.

The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The directors have made an assessment of the Group and the Company's ability to continue as a going concern and have prepared the Company and Group financial statements on the bases of accounting applicable to a going concern. The directors, however, are aware of the existence of a material uncertainty that may cast significant doubt about the Group and Company's ability to continue as a going concern. Directors have put in place initiatives disclosed at note 2(e) to the financial statements to enable the Group and Company to continue meeting its obligations as and when they fall due.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 30th May, 2025 and were signed on its behalf by:

Date:

Mugo Waweru & Associates
Certified Public Accountants of Kenya
Brunie House, 2nd Floor, Witu Road Next to G4S Security
P.O. Box 27705-00506, Nyayo Stadium,
Tel: 020 244 6879 / 80, 0723 818588 / 0738 828 105
NAIROBI.
Email: info@mugowaweru.com

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF UCHUMI SUPERMARKETS PLC

Report on the consolidated and company financial statements

We have audited the consolidated and company financial statements of Uchumi Supermarkets PLC set out on pages 10 to 58, which comprise the consolidated and company statements of financial position as at 30 June 2018, and the consolidated and company statements of profit or loss and other comprehensive income, statements of changes in equity, and statements of cash flows for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

As stated on page 7, the directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity ' s internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

Basis for disclaimer of opinion

A. We were appointed as auditors of the consolidated and company financial statements on 7th November, 2024 for the audit of the year ended 30 June 2018. In the course of our audit, the following limitations on the scope of audit were experienced: -

Basis for disclaimer of opinion (Continued)

a) A number of accounting and other records, stocks and assets were reported lost during the process of eviction and forced branch closures;
b) The fixed assets register had not been reconciled to the General Ledger;
c) Due to the time that had elapsed before the audit, debtors and creditor balances could not be satisfactorily re-confirmed.

In the circumstances, we were unable to determine whether any adjustments might have been necessary in respect of the consolidated and company financial statements.

B. As disclosed in Note 39(b), Insolvency Petition Number 25 of 2018 against the Company was marked as settled consequent to the Court's approval of the Company's Voluntary Arrangement ("CVA") with creditors dated 2nd March, 2020. The Arrangement is dependent on the disposal of the investment property disclosed in Note 22.

In 2019, Kenya Defence Forces forcefully entered the property and claimed ownership. The Company instituted Case Number ELC E010 of 2022 against the Forces.

On 19th May, 2025, the Court entered judgement against the Company and revoked the certificate of title. As a result, successful realization of the proposed arrangement with creditors remained doubtful. We were in the circumstances unable to determine the suitability of the preparation of the financial statements on a going concern basis.

Because of the significance of the matters described in A and B above, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the consolidated and company financial statements. Accordingly, we do not express an opinion on the consolidated and company financial statements.

Report on other legal requirements

Because of the significance of the matters described in the Basis of Disclaimer, we are unable to report on other legal requirements.

The Engagement Partner responsible for the audit resulting in this independent auditors' report is **CPA Gabriel W Wainaina P.764**

Mugoh Wainaina & Associates

Date: 16th September, 2025

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2018

	Note	2018 KShs "000"	2017 KShs "000"
Revenue			
Sales	7	**847,637**	**2,587,239**
Cost of sales	8	**(702,309)**	**(2,138,082)**
Gross profit		**145,328**	**449,157**
Other income	9	107,850	458,503
		253,178	**907,660**
Expenses			
Administration Costs	11	(814,629)	(987,550)
Staff Costs	12	(645,444)	(796,625)
General Expenses	13	(118,916)	(233,677)
Legal & Professional Expenses	14	(46,443)	(168,462)
Selling and Distribution	15	(11,503)	(24,628)
		(1,636,935)	**(2,210,942)**
Loss from operating activities		**(1,383,757)**	**(1,303,282)**
Provisions and write offs	16	(38,791)	(277,575)
		(1,422,548)	**(1,580,857)**
Finance costs (Net)	17	(381,015)	(308,874)
Loss before tax	18	**(1,803,563)**	**(1,889,731)**
Taxation	19(b)	-	(17,231)
Loss for the year		**(1,803,563)**	**(1,906,962)**
Other comprehensive income			
Revaluation of land and buildings		**-**	**510,212**
Non Trading Gain / (Expenditure)	10	**72,370**	**-**
Total comprehensive loss for the year		**(1,731,193)**	**(1,396,750)**
Loss per share (Basic and diluted) – KShs	20	**(4.74)**	**(3.73)**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2018

	Note	2018 KShs "000"	2017 KShs "000"
Revenue			
Sales	7	**847,637**	**2,587,239**
Cost of sales	8	**(702,309)**	**(2,138,082)**
Gross profit		**145,328**	**449,157**
Other income	9	107,850	458,503
		253,178	**907,660**
Expenses			
Administration Costs	11	(814,629)	(987,550)
Staff Costs	12	(645,444)	(796,625)
General Expenses	13	(118,916)	(233,677)
Legal & Professional Expenses	14	(21,630)	(168,462)
Selling and Distribution	15	(11,503)	(24,628)
		(1,612,122)	**(2,210,942)**
Loss from operating activities		**(1,358,944)**	**(1,303,282)**
Provisions and write offs	16	(38,791)	(277,575)
		(1,397,735)	**(1,580,857)**
Finance costs (Net)	17	(381,015)	(308,874)
Loss before tax	18	**(1,778,750)**	**(1,889,731)**
Taxation	19(b)	-	(7,231)
Loss for the year		**(1,778,750)**	**(1,896,962)**
Other comprehensive income			
Revaluation of land and buildings		**-**	**510,212**
Non Trading Gain / (Loss)	10	**72,370**	**-**
Total comprehensive loss for the year		**(1,706,380)**	**(1,386,750)**
Loss per share (Basic and diluted) – KShs	20	**(4.68)**	**(3.73)**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 30 June	Notes	2018 KShs "000"	2017 KShs "000"
ASSETS			
Non - Current Assets			
Property and equipment	21	1,005,586	1,147,964
Investment Property	22	2,600,000	2,600,000
Intangible assets	23	1,409	5,237
Prepaid operating lease	24	17,765	18,034
		3,624,760	**3,771,235**
Current Assets			
Inventories	27	50,123	154,459
Trade and other receivables	28	229,925	396,120
Due from related parties	29(a)	501	501
Bank and Cash balances	30	12,153	4,966
		292,702	**556,046**
TOTAL ASSETS		**3,917,462**	**4,327,281**
EQUITY AND LIABILITIES			
Equity			
Share Capital	31	1,824,808	1,824,808
Share premium account	32	1,371,057	1,371,057
Revaluation reserve	32	755,569	755,569
Retained Earnings (Deficit)	32	(9,093,338)	(7,362,145)
		(5,141,904)	**(3,410,711)**
Non Current Liabilities			
Deferred Tax	26	125,750	125,750
Term loans	33	1,165,938	628,713
Finance Leases	34	39,477	262,643
		1,331,165	**1,017,106**
Current Liabilities			
Term loans	33	440,382	434,853
Finance Leases	34	683,473	361,345
Trade and other payables	35	5,768,397	5,307,297
Deferred revenue	36	87,718	84,843
Tax payable	19(a)	9,227	9,290
Bank overdraft	30	739,004	523,258
		7,728,201	**6,720,886**
TOTAL EQUITY AND LIABILITIES		**3,917,462**	**4,327,281**

The financial statements on pages 18 to 58 were approved and authorized for issue by the Board of Directors on 30th May, 2025 and signed on its behalf by:

John Karani
Chairperson

Lawrence Ngao
Chief Executive Officer

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

COMPANY STATEMENT OF FINANCIAL POSITION

AS AT 30 June	Notes	2018 KShs "000"	2017 KShs "000"
ASSETS			
Non - Current Assets			
Property and equipment	**21**	1,005,586	1,147,964
Intangible assets	**23**	1,409	5,237
Prepaid operating lease	**24**	17,765	18,034
Investment in Subsidiaries	**25**	200	200
		1,024,960	**1,171,435**
Current Assets			
Inventories	**27**	50,123	154,459
Trade and other receivables	**28**	229,925	396,120
Due from related parties	**29(a)**	134,004	133,604
Bank and cash balances	**30**	12,153	4,966
		426,205	**689,149**
TOTAL ASSETS		**1,451,165**	**1,860,584**
EQUITY AND LIABILITIES			
Equity			
Share Capital	**31**	1,824,808	1,824,808
Share premium account	**32**	1,371,057	1,371,057
Revaluation reserve	**32**	755,569	755,569
Retained Earnings (Deficit)	**32**	(11,409,466)	(9,703,086)
		(7,458,032)	**(5,751,652)**
Non Current Liabilities			
Term loans	**33**	1,165,938	628,713
Finance Leases	**34**	39,478	262,643
		1,205,416	**891,356**
Current Liabilities			
Term loans	**33**	440,382	434,853
Finance Leases	**34**	683,472	361,345
Trade and other payables	**35**	5,743,978	5,307,291
Deferred revenue	**36**	87,718	84,843
Tax payable	**19(a)**	9,227	9,290
Bank overdraft	**30**	739,004	523,258
		7,703,781	**6,720,880**
TOTAL EQUITY AND LIABILITIES		**1,451,165**	**1,860,584**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2018

	Share Capital KShs "000"	Share Premium KShs "000"	Revaluation Reserve KShs "000"	Retained Earnings (Deficit) KShs "000"	Total KShs "000"
2018:					
At 1st July, 2017	**1,824,808**	**1,371,057**	**755,569**	**(7,362,145)**	**(3,410,711)**
Loss for the year	-	-	-	(1,731,193)	**(1,731,193)**
Total comprehensive income	-	-	-	(1,731,193)	**(1,731,193)**
At 30th June, 2018	**1,824,808**	**1,371,057**	**755,569**	**(9,093,338)**	**(5,141,904)**
2017:					
At 1st July, 2016	**1,824,808**	**1,371,057**	**872,154**	**(5,965,395)**	**(1,897,376)**
Loss for the year	-	-	-	(1,906,962)	**(1,906,962)**
Other Comprehensive Income					
Transfer of revaluation surplus	-	-	(510,212)	510,212	**-**
Revaluation Surplus	**-**	**-**	393,627	-	**393,627**
Total Other Comprehensive Income	**-**	**-**	**(116,585)**	**(1,396,750)**	**(1,513,335)**
At 30 June 2017	**1,824,808**	**1,371,057**	**755,569**	**(7,362,145)**	**(3,410,711)**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2018

	Share Capital KShs "000"	Share Premium KShs "000"	Revaluation Reserve KShs "000"	Retained Earnings (Deficit) KShs "000"	Total KShs "000"
2018:					
At 1st July, 2017	**1,824,808**	**1,371,057**	**755,569**	**(9,703,086)**	**(5,751,652)**
Loss for the year	-	-	-	(1,706,380)	**(1,706,380)**
Total comprehensive income				(1,706,380)	**(1,706,380)**
At 30th June, 2018	**1,824,808**	**1,371,057**	**755,569**	**(11,409,466)**	**(7,458,032)**
2017:					
At 1st July, 2016	**1,824,808**	**1,371,057**	**872,154**	**(8,316,336)**	**(4,248,317)**
Loss for the year	-	-	-	(1,896,962)	**(1,896,962)**
Other Comprehensive Income					
Transfer of revaluation surplus	-	-	(510,212)	510,212	**-**
Revaluation Surplus			393,627	-	**393,627**
Total Other Comprehensive Income	**-**	**-**	**(116,585)**	**(1,386,750)**	**(1,503,335)**
At 30 June 2017	**1,824,808**	**1,371,057**	**755,569**	**(9,703,086)**	**(5,751,652)**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2018

	Notes	2018 KShs "000"	2017 KShs "000"
Net cash flows from operating activities			
Loss before income tax		**(1,731,193)**	**(1,889,731)**
Adjustments for:			
Depreciation of property and equipment	**21**	142,490	154,643
Gain on disposal of equipment	**21**	-	1,832
Amortisation of intangible assets	**23**	3,828	3,825
Amortisation of prepaid operating lease	**24**	269	269
Gain on disposal of Non-Current Asset Held for Sale		-	(328,747)
Gain on disposal of Motor Vehicle		-	(544)
Finance expense	**17**	381,015	282,833
Operating loss before working capital changes		**(1,203,591)**	**(1,775,620)**
Inventories	**27**	104,336	127,191
Trade and other receivables	**28**	166,195	(173,188)
Trade and other payables	**35**	461,100	622,659
Deferred revenue	**36**	2,875	59,262
Related Parties Balances	**29(a)**	-	(501)
Cash outflows from operations		**(469,085)**	**(1,140,197)**
Tax paid	**19**	(63)	(784)
Net cash used in operating activities		**(469,148)**	**(1,140,981)**
Investing activities			
Purchase / Sale of property and equipment	**21**	(112)	544
Balance of Payment		-	706,275
Net cash used in investing activities		**(112)**	**706,819**
Financing activities			
Finance cost	**17**	(381,015)	(276,205)
Increase in Long Term Borrowings	**33**	700,000	989,994
Repayments of Long Term Borrowings	**33**	(157,246)	(294,766)
Increase in Finance Lease Obligation	**34**	111,617	147,517
Repayment of Finance Lease Obligation	**34**	(12,655)	(322,394)
Net cash from financing activities		**260,701**	**244,146**
Net decrease in cash and cash equivalents		**(208,559)**	**(190,016)**
Cash and cash equivalents at the beginning of the year		**(518,292)**	**(328,276)**
Cash and cash equivalents at the end of the year	**30**	**(726,851)**	**(518,292)**

The notes on page 18 to 58 are an integral part of these financial statements

UCHUMI SUPERMARKETS PLC

(Under Company Voluntary Arrangement)

COMPANY STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2018

	Notes	2018 KShs "000"	2017 KShs "000"
Net cash flows from operating activities			
Loss before income tax		**(1,706,380)**	**(1,889,731)**
Adjustments for:			
Depreciation of property and equipment	21	142,490	154,643
Gain on disposal of Equipment	21	-	1,832
Amortisation of intangible assets	23	3,828	3,825
Amortisation of prepaid operating lease	24	269	269
Gain on disposal of Non-Current Asset Held for Sale		-	(328,747)
Gain on disposal of Motor Vehicle		-	(544)
Finance expense	17	381,015	282,833
Operating loss before working capital changes		**(1,178,778)**	**(1,775,620)**
Inventories	27	104,336	127,191
Trade and other receivables	28	166,195	(173,188)
Trade and other payables	35	436,686	622,659
Deferred revenue	36	2,875	59,262
Related Parties Balances	29(a)	(400)	(501)
Cash outflows from operations		**(469,086)**	**(1,140,197)**
Tax paid	19	(63)	(784)
Net cash used in operating activities		**(469,149)**	**(1,140,981)**
Investing activities			
Purchase of property and equipment	21	(112)	544
Balance of Payment			706,275
Net cash used in investing activities		**(112)**	**706,819**
Financing activities			
Finance cost	17	(381,015)	(276,205)
Increase in Long Term Borrowings	33	700,000	989,994
Repayments of Long Term Borrowings	33	(157,246)	(294,766)
Increase in Finance Lease Obligation	34	111,617	147,517
Repayment of Finance Lease Obligation	34	(12,655)	(322,394)
Net cash from financing activities		**260,701**	**244,146**
Net decrease in cash and cash equivalents		**(208,560)**	**(190,016)**
Cash and cash equivalents at the beginning of the year		**(518,292)**	**(328,276)**
Cash and cash equivalents at the end of the year	30	**(726,852)**	**(518,292)**

The notes on page 18 to 58 are an integral part of these financial statements

1. REPORTING ENTITY

Uchumi Supermarket Plc (formerly Uchumi Supermarkets Limited) (the "Company") is a limited liability Company incorporated in Kenya under the Kenyan Companies Act, 2015 and is domiciled in Kenya. The Company operates retail supermarkets in Kenya. The address of its registered office is as shown on page 1.

The Company's shares are listed on the Nairobi Securities Exchange.

2. BASIS OF PREPARATION

a) Basis of accounting

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) and in the manner required by the Companies Act, 2015.

For Companies Act, 2015 reporting purposes in these financial statements, the balance sheet is represented by the statement of financial position and the profit and loss account is presented in the statement of profit or loss and other comprehensive income.

b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis of accounting except for land and buildings and investment properties, which have been measured at fair value.

c) Functional and presentation currency

These consolidated financial statements are presented in Kenya shillings (KShs), which is the Company's functional currency. Except as otherwise indicated, financial information presented in Kenya shillings has been rounded to the nearest thousand (KShs'000).

d) Use of estimates and judgements

The preparation of financial statements in conformity with IFRSs requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

In particular, information about significant areas of estimation and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are described in Note 4.

2 BASIS OF PREPARATION (Continued)

e) Going concern

The Group and Company incurred net losses after tax of KShs 1,731 million and KShs 1,706 million during the year ended 30 June 2018 (2017 – KShs 1,386 million and KShs 1,396 million) respectively and as of that date, the Group's and Company's current liabilities exceeded their current assets by KShs 7,445 million and KShs 7,277 million (2017 – KShs 6,164 million and KShs 6,031 million), respectively.

The Directors prepared the Consolidated and Company financial statements on a going concern basis since as at the end of the accounting period, they were confident that the initiatives described here below provided a reasonable expectation that the Group and Company would be able to meet their liabilities as and when they fell due and have adequate resources to continue in operational existence for at least twelve months, from the date of approval of the financial statement:-

(i) Franchising

The Company intended to venture into Franchising as the vehicle to increase sales volume while transferring risks associated with the purchase and management of new sales outlets. The immediate focus of the business was to get the required capital injection to ensure optimal stocking in all branches. The growth strategy pertaining to the franchise model was to depend on the success of the existing branches and the timing and receipt of funds from the investors.

(ii) Strategic investor

The shareholders of the Company had approved the identification of suitable investors to raise funds to a maximum of Kenya Shillings five billion by way of debt capital through the issue of convertible debt instruments or by way of equity capital through private transfer of shares in Uchumi Supermarkets PLC to the investor or a combination of both options.

(iii) Debt restructuring

Uchumi Supermarket PLC and its creditors were already actively engaged in discussions over debt restructuring. (On 1st October, 2020 the Court approved the Company's Voluntary Arrangement entered into with Creditors on 2nd March, 2020.)

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated financial statements have been applied consistently to all periods presented in these financial statements.

a) Basis of combinations

(i) Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisitions is generally measured at fair value as is the net identifiable assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on bargain purchase is recognized in the profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

a) Basis of combinations (continued)

(i) Business Combinations (Continued)

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in profit or loss.

(ii) Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date when control ceases.

(iii) Loss of control

When the Group has lost control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary and any related non-controlling interests and other components of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

(iv) Transactions eliminated on consolidation

Intra-Group balances and transactions, and any unrealized income and expenses arising from intra-Group transactions are eliminated. Unrealized gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in that investee. Unrealized losses are eliminated in the same way as unrealized gains but only to the extent that there is no evidence of impairment.

b) Transactions in foreign currencies

Transactions in foreign currencies during the year are converted into the respective functional currencies of Group entities at rates prevailing at the transaction dates.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated into the functional currency at the exchange rates ruling at the reporting date. The resulting differences from conversion are recognized in profit or loss in the year in which they arise.

Non-monetary assets and liabilities denominated in foreign currencies that are measured based on historical cost are translated at the exchange rate ruling at the transaction date.

c) Revenue recognition

Revenue from the sales of goods is recognized in the period in which the Group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivable is reasonably assured. Revenue from the rendering of services is recognized in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

c) Revenue recognition (Continued)

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts. Other operating revenue is recognized at the time the service is provided.

Interest income is accrued on a time proportion basis, by reference to the principal outstanding and at the effective interest rate applicable. Dividend income from investments is recognized when the Group's rights to receive payment as a shareholder have been established.

d) Customer loyalty programme

The Group estimates the fair value of points earned under the loyalty points programme by applying statistical techniques. Inputs to the models include making assumptions about expected redemption rates. As points issued under the programme do not expire, such estimates are subject to significant uncertainty.

Award credits are accounted for as a separate identifiable component of sales. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and other components of the sale.

Revenue is recognized as the risk expires which is based on the number of points that have been redeemed relative to the total number expected to be redeemed.

e) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost comprises expenditure incurred in the normal course of the business including direct material costs and other overheads incurred to bring the asset to the existing location and condition. Cost is determined by the weighted average cost method. Net realizable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

Provision for obsolescence is made on the basis of the historical trend which considers the period an item is projected to take to clear from the shelves for the two main categories of inventory being food and non- food items as follows:

Food items

Between 3 and 6 months	50%
Between 6 and 9 months	75%
Over 9 months	100%

Nonfood items

Between 9 and 18 months	50%
Between 18 and 24 months	75%
Over 24 months	100%

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

f) Property and equipment

(i) Recognition, measurement and subsequent expenditure

Land and buildings are initially measured at cost and then are subsequently measured at the fair value on the date of revaluation less subsequent accumulated depreciation and accumulated impairment losses.

Other categories of property and equipment are included in the financial statements at their historical cost less accumulated depreciation and accumulated impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for their intended use, the cost of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

When parts of an item of the property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

The cost of replacing part of an item of property or equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of day-to-day servicing of property and equipment are recognized in profit or loss.

Gains and losses on disposal of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of the item of property and equipment and are recognized in profit or loss in the year in which they arise.

(ii) Depreciation

Depreciation is calculated on a straight-line basis to allocate the cost or revalued amount to their residual values over the estimated useful lives. The depreciation rates for the current and comparative year are as follows:

Asset Class	Depreciation Period
Buildings on freehold land	over a period of 45 years
Buildings on leasehold land	Shorter of estimated useful life or the lease term
Buildings on leasehold land	Improvements to premises 10 years
Plant and Machinery	5 Years
Equipment and motor vehicles	6.67 years, 5 years and 4 years (as applicable)

The depreciation methods, useful lives and residual values are reviewed and adjusted if appropriate, at each reporting date.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

(iii) Revaluation

Land and buildings are revalued every two years. The carrying amounts are adjusted to the revaluations and the resulting increase, net of deferred tax is recognized in other comprehensive income and presented in the revaluation reserve within equity.

Revaluation decreases that offset previous increases of the same asset are charged or recognized in other comprehensive income with all other decreases being charged to profit or loss.

Revaluation surpluses are not distributable. When a revalued asset is disposed of, any revaluation surplus is transferred directly to retained earnings.

(iv) Non-depreciable items

These are items that have not yet been brought to the location and/or condition necessary for it to be capable of operating in the manner intended by management. In the event of partially completed construction work that has necessitated advance or progress payments, or work-in- progress, depreciation will only commence when the work is complete. Fixed assets are classified as work-in-progress if it is probable that future economic benefits will flow to the Group and the cost can be measured reliably.

Amounts held within work in progress that are substantially complete, in common with other fixed assets, are assessed for impairment.

g) Assets held for sale

Non-current assets are classified as held-for-sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

Such assets or disposal groups are generally measured at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal Group is allocated first to goodwill, and then to the remaining assets and liabilities on a pro-rata basis, except that no loss is allocated to inventories, financial assets and deferred tax assets which continue to be measured in accordance with the Group's other accounting policies. Impairment losses on re-measurement are recognized in profit or loss.

Once classified as held for sale, intangible assets and property and equipment is no longer depreciated and any equity accounted investee is no longer equity accounted.

h) Intangible assets - Capitalized software

The costs incurred to acquire and bring to use specific computer software licences are capitalized. Software acquired by the Group is stated at cost less accumulated amortization and accumulated impairment losses.

Expenditure on internally developed software is recognized as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can reliably measure the cost to complete the development. Internally developed software is stated at cost less accumulated amortization and accumulated impairment losses.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

h) Intangible assets - Capitalized software (Continued)

Subsequent expenditure on software is capitalized only if the definition of an intangible asset and the recognition criteria are met. All other expenditure is expensed as incurred.

The costs are amortized on a straight-line basis over the expected useful lives, from the date it is available for use, not exceeding five years. Amortization methods, useful lives and residual values are reviewed and adjusted if appropriate, at each reporting date.

i) Leased Assets

(i) Finance Lease

Leases of property and equipment, where the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalized at cost. Each lease payment is allocated between the liability and finance charges. The interest element is charged to the profit or loss over the lease period and is included under finance costs. Such property and equipment is depreciated over its useful life.

(ii) Operating lease

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit or loss on a straight-line basis over the period of the lease.

j) Employee benefits

(i) Short term employee benefits
Short term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Group has a present legal or constructive obligation to pay the amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(ii) Termination benefits
Termination benefits are expensed at the earlier of when the Group can no longer withdraw the offer of those benefits and when the Group recognizes costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the reporting date, then they are discounted.

(iii) Leave accrual
The monetary value of the unutilized leave by staff as at year end is carried in the accruals as a payable and a movement in the year is recognized in profit or loss.

(iv) Defined contribution plan
The employees of the Group participate in a defined contribution retirement benefit scheme. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and employees. The Group and all its employees also contribute to the National Social Security Fund in, which is a defined contribution scheme in Kenya. Contribution to the defined retirement benefit scheme is as follows:

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

j) Employee benefits (Continued)

(iv) Defined contribution plan (Continued)

The Company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month. In addition, the Company operates a provident fund scheme, where employees contribute 5% of their basic salaries and the employer contributes 7 %.

The Group's contributions to defined contribution schemes are charged to the profit or loss in the year to which they relate. The Group has no further obligation once the contributions have been paid.

k) Taxation

Income tax expense comprises current tax and change in deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to items recognized directly in equity, or other comprehensive income, in which case it is recognized in equity, or in other comprehensive income.

Current tax is the expected tax payable on the taxable income for the year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognized on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes, except differences relating to the initial recognition of assets or liabilities in a transaction that is not a business combination and which affects neither accounting nor taxable profit. Deferred tax is not recognized on the initial recognition of goodwill as well as differences relating to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied on the temporary differences when they reverse, based on tax laws that have been enacted or substantively enacted at the reporting date. A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

In determining the amount of current and deferred tax, the Group takes into account the impact of uncertain tax positions and whether additional tax and interest may be due. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Company to change its judgment regarding the adequacy of existing liabilities. Such changes to tax liabilities will impact tax expense in the period that such a determination is made.

l) Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprises cash in hand, bank balances and short term deposits net of bank overdrafts.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

m) Share capital

Incremental costs directly attributable to the issue of ordinary shares, net of any tax effects are recognized as a deduction to equity. Any premium received over and above the par value of the shares is classified as “share premium” in equity.

n) Financial instruments

(i) Recognition

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. The Group recognizes loans and receivables on the date when they are originated. These assets are initially recognized at fair value plus any directly attributable transaction cost. All other financial assets and liabilities are recognized on the trade date which is the date on which the Company becomes party to the contractual provisions of the financial instrument.

(ii) Classification

The Group classifies its financial assets into three categories as described below. Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio on a regular basis to ensure that all financial assets are appropriately classified.

Loans and Receivables

Loans and receivables are non-derivate financial assets with fixed or determinable payments that are not quoted in an active market other than those that the Company intends to sell in the short term or that it has designated as at fair value through profit or loss or available for sale. Loans and Receivables comprise trade and other receivables, amounts due from related parties and cash and bank balances.

These are measured at amortized cost using the effective interest method, less any impairment losses.

Other financial liabilities

Other financial liabilities are measured at amortized cost. These include trade and other payables, finance lease obligations, loans and borrowings and provisions for liabilities and charges.

(iii) Measurement

Financial instruments are measured initially at fair value, including transaction costs.

Subsequent to initial recognition, loans and receivables are measured at amortized cost less impairment losses. Amortized cost is calculated using the effective interest method. Premiums and discounts, including initial transaction costs, are included in the carrying amount of the related instrument and amortized based on the effective interest rate of the instrument.

Subsequent to initial recognition, other financial liabilities are measured at amortized cost using the effective interest method.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

n) Financial instruments (Continued)

(iv) De-recognition

A financial asset is derecognized when the Group loses control over the contractual rights that comprise that asset. This occurs when the rights are realized, expire or are surrendered. A financial liability is derecognized when it is extinguished, cancelled or expires.

(v) Offsetting of financial assets and liabilities

Financial assets and financial liabilities are offset and the net amount reported on the statement of financial position when there is a legally enforceable right to offset the recognized amount and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

(vi) Fair value of financial assets and liabilities

Fair value of financial assets and financial liabilities is the price that would be received to sell an asset or paid to transfer a liability respectively in an orderly transaction between market participants at the measurement date.

o) Impairment of Financial assets

(i) Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset.

An impairment loss in respect of a financial asset measured at amortized cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in Groups that share similar credit risk characteristics.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognized. For financial assets measured at amortized cost the reversal is recognized in profit or loss.

(ii) Non-financial assets

The carrying amounts of the Company's non-financial assets other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

o) Impairment of Financial assets (Continued)

(ii) Non-financial assets (Continued)

An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset Group that generates cash flows that largely are independent from other assets and Groups. Impairment losses are recognized in profit or loss. Impairment losses recognized in respect of cash-generating units reduce the carrying amount of the other assets in the unit (Group of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

p) **Earnings per share (EPS**)

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

q) Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, those that take substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use. Other borrowing costs are recognized as an expense.

r) Provisions for liabilities

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as finance cost.

Provisions for legal claims are recognized when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

r) Provisions for liabilities (Continued)

Provisions for restructuring are recognized when the Group has approved a detailed formal restructuring plan, and the restructuring has either commenced or has been announced publicly.

Provisions are not recognized for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

s) Investments in subsidiaries

Investments in subsidiaries are carried in the Company's separate statement of financial position at cost less provisions for impairment losses. Impairment loss is recognized as an expense in the period in which the impairment is identified.

t) Restructuring provisions

Restructuring provisions are recognized only when the Group has a constructive obligation, which is when a detailed formal plan identifies the business or part of the business concerned, the location and number of employees affected, a detailed estimate of the associated costs, and an appropriate timeline, and the employees affected have been notified of the plan's main features.

u) Dividends

Dividends are recognized as a liability in the period in which they are declared.

v) Investment property

Investment property is initially measured at cost and subsequently at fair value with any change therein recognized in profit or loss.

w) Comparatives

Where necessary, comparative information have been adjusted to conform to changes in presentation in the current year.

x) New standards, amendments and interpretations

(i) **The following standards and amendments have been applied by the Company for the first time for the financial year beginning 1 July 2017:**

Amendment to IAS 12 - Recognition of Deferred Tax Asset for Unrealized Losses: Amendments made to IAS 12 in January 2016 clarify the accounting for deferred tax where an asset is measured at fair value and that fair value is below the asset's tax base. Specifically, the amendments confirm that:

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

x) New standards, amendments and interpretations (Continued)

(i) **The following standards and amendments have been applied by the Company for the first time for the financial year beginning 1 July 2017 (Continued):**

- A temporary difference exists whenever the carrying amount of an asset is less than its tax base at the end of the reporting period.
- An entity can assume that it will recover an amount higher than the carrying amount of an asset to estimate its future taxable profit.
- Where the tax law restricts the source of taxable profits against which particular types of deferred tax assets can be recovered, the recoverability of the deferred tax assets can only be assessed in combination with other deferred tax assets of the same type.
- Tax deductions resulting from the reversal of deferred tax assets are excluded from the estimated future taxable profit that is used to evaluate the recoverability of those assets.

The amendment to IAS 12 is effective 1 January 2017. The adoption of this amendment did not have a material impact on the Group's financial statements.

Amendments to IAS 7 - Disclosure Initiative: Amends IAS 7 Statement of Cash Flows to clarify those entities shall provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities. The amendment is effective 1 January 2017 and its adoption did not have a material impact on the Group's financial statements.

Annual Improvements to IFRS Standards 2014–2016 Cycle: Makes amendments to IFRS 12 by clarifying the scope of the standard by specifying that the disclosure requirements in the standard, except for those in paragraphs B10–B16, apply to an entity's interests listed in paragraph 5 that are classified as held for sale, as held for distribution or as discontinued operations in accordance with IFRS 5 'Non-current Assets Held for Sale and Discontinued Operations'. The amendment is effective 1 January 2017 and its adoption did not have a material impact on the Group's financial statements.

(ii) **New standards and interpretations early adopted**

IFRS 15: Revenue from Contracts with Customers: The standard deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognized when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The standard replaces IAS 18 'Revenue' and IAS 11 'Construction contracts and related interpretations.

The standard is effective for annual periods beginning on or after 1 January 2018 and earlier application is permitted. The Group has early adopted the standard. An extensive assessment was carried out by the Group to determine the impact of IFRS 15. The adoption of IFRS 15 did not have a material impact on the Group's financial statements.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

x) New standards, amendments and interpretations (Continued)

***(iii)* New standards and interpretations not yet adopted by the Company**

IFRS 9: Financial Instruments: The standard addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets: amortized cost, fair value through OCI and fair value through profit or loss. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests.

The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Group is assessing IFRS 9's full impact. By the nature of financial instruments held by the Group, the relevant financial instruments are financial assets measured at amortized cost. Financial assets measured at amortized cost, primarily trade receivables will be subject to the impairment provisions of IFRS 9. The Group expects to apply the simplified approach to recognize lifetime expected credit losses for its trade receivables, as required or permitted by IFRS 15. In general, the Directors anticipate that the application of the expected credit loss model of IFRS 9 will not result in a material impact on the financial statements of the Group.

IFRS 16: Leases: The standard specifies how an IFRS reporter will recognize, measure, present and disclose leases. The standard provides a single lessee accounting model, requiring lessees to recognize assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. Lessors continue to classify leases as operating or finance, with IFRS 16's approach to lessor accounting substantially unchanged from its predecessor, IAS 17.

The standard is effective for accounting periods beginning on or after 1 January 2019. Early adoption is permitted. The Group is assessing the potential impact on its financial statements resulting from the application of IFRS 16.

Amendments to IFRS 2 Classification and Measurement of Share-based Payment Transactions: The amendments clarify the standard in relation to the accounting for cash-settled share-based payment transactions that include a performance condition, the classification of share-based payment transactions with net settlement features, and the accounting for modifications of share-based payment transactions from cash-settled to equity- settled.

The amendment to the standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Directors of the Group do not anticipate that the application of the amendments in future will have a significant impact on the financial statements as the Group does not have any cash-settled share-based payment arrangements.

IFRIC 22: Foreign Currency Transactions and Advance Consideration: IFRIC 22 addresses how to determine the 'date of transaction' for the purpose of determining the exchange rate to use on initial recognition of an asset, expense or income, when consideration for that item has been paid or received in advance in a foreign currency which resulted in the recognition of a non- monetary asset or non-monetary liability. (e.g. a non-refundable deposit or deferred revenue). The interpretation specifies that the date of

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

x) New standards, amendments and interpretations (Continued)

IFRIC 22: (Continued) transactions is the date on which the entity initially recognizes the non-monetary asset or non-monetary liability arising from the payment or receipt of advance consideration.

The Directors of the Group do not anticipate that the application of the amendments in the future will have an impact on the financial statements as the Group already accounts for transactions involving the payment or receipt of advance consideration in a foreign currency in a way that is consistent with the amendments.

IFRIC 23: Uncertainty over Income Tax Treatments: The interpretation addresses the determination of taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates, when there is uncertainty over income tax treatments under IAS.
It specifically considers: -

- Whether tax treatments should be considered collectively.
- Assumptions for taxation authorities' examinations.
- The determination of taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates.
- The effect of changes in facts and circumstances.

The Group is assessing the potential impact on the financial statements resulting from the application of these changes.

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

In determining the carrying amounts of certain assets and liabilities, the Group makes assumptions of the effects of uncertain future events on those assets and liabilities at the reporting date. The Group's estimates and assumptions are based on historical experience and expectation of future events and are reviewed periodically. This disclosure excludes uncertainty over future events and judgments in respect of measuring financial instruments. Further information about key assumptions concerning the future, and other key sources of estimation uncertainty are set out in the notes below:

a) Critical accounting estimates

(i) Property and equipment and intangible assets

Useful life of assets
Critical estimates are made by Directors in determining the useful lives of property and equipment based on the intended use and economic lives of those assets.

Intangible assets - Capitalized software
Critical estimates are made by management to determine the period over which to amortise both purchased and internally developed software.

(ii) Revaluation of land and buildings and investment property

Certain items of property and equipment are measured at revalued amounts. The fair value is determined based on the market and cost approaches using quoted market prices for similar items when available and replacement cost when appropriate. The fair value of investment property is based on assumptions disclosed at Note 19.

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (Continued)

a) Critical accounting estimates (Continued)

(iii) Taxation

Judgment is required in determining the provision for income taxes due to the complexity of legislation. There are many transactions and calculations for which ultimate tax determination is uncertain during the ordinary course of business. The Group recognizes liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(iii) Trade receivables

The Group assesses its trade receivables for impairment at each reporting date. In determining whether an impairment loss should be recorded in the profit or loss, the Group makes judgments as to whether there is observable data indicating a measurable decrease in the estimated future cash flows from a financial asset.

(iv) Fair value of financial instruments

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

All financial instruments are initially recognized at fair value, which is normally the transaction price. In certain circumstances, the initial fair value may be based on a valuation technique which may lead to the recognition of profits or losses at the time of initial recognition. However, these profits or losses can only be recognized when the valuation technique used is based solely on observable market inputs.

Subsequent to initial recognition, some of the Group's financial instruments are carried at fair value, with changes in fair value either reported within profit or loss or within other comprehensive income until the instrument is sold or becomes impaired.

When measuring the fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorized into different levels in the Fair Value hierarchy based on inputs used in the valuation techniques as follows:

b) Critical judgements in applying the entity's accounting policies

In the process of applying the Group's accounting policies, the Directors have made judgments in determining:

- the classification of finance and operating leases.
- whether financial and non-financial assets are impaired.
- the assessment of going concern assumptions.
- The assessment of contingent liabilities.
- Renewal of lease relating to investment property.

5. FINANCIAL RISK MANAGEMENT

The Group carries out its activities in an extremely dynamic, and often highly volatile, commercial environment. Therefore, both opportunities and risks are encountered as part of everyday business for the Group. The Group's ability to recognize, successfully control and manage risks early in their development and to identify and exploit opportunities is key to its ability to successfully realize the corporate vision.

The Group has exposure to the following risks from its use of financial instruments:

- Market risk
- Credit risk
- Liquidity risk

Changing market conditions expose the Group to various financial risks and management have highlighted the importance of financial risk management as an element of control for the Group. The policy of the Group is to minimize the negative effect of such risks on cash flow, financial performance and equity.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

The Group's risk management framework

The Company's Board of Directors has overall responsibility for the establishment of an oversight of the Group's risk management framework. The Board of Directors has established the Risk and Compliance Committee, which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the Board of Directors on its activities.

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in the market conditions and Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Risk and Compliance Committee oversees how management monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to risks faced by the Group. The Risk and Compliance Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Risk and Compliance Committee.

The Group maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the Group does not speculate or trade in derivative financial instruments.

5. FINANCIAL RISK MANAGEMENT (Continued)

The Group's risk management framework (continued)

a) Market risk

Market risk is the risk that changes in market prices, such as changes in interest rates or foreign exchange rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing returns.

b) Credit risk

The largest concentration of credit exposure within the Group relates to cash held with banks and accounts receivable. The Group has policies in place to ensure that services are provided to customers with an appropriate credit history. In addition, the Group only deals with financial institutions which have a strong credit rating. The Directors have the responsibility of managing the Group's credit risk.

The amount that best represents the Group's maximum exposure to credit risk as at 30 June is made up as follows:

		Group	
		2018	**2017**
	Notes	**Kshs. "000"**	**Kshs. "000"**
Bank Balances	30	11,713	2,745
Trade Receivables	28	110,071	74,982
Amounts due from related parties	29	501	133,604
Cash Deposit	28	-	256,800
Other Receivables	28	119,854	64,338
		242,139	**532,469**

The Directors believe that the unimpaired amounts that are past due are still collectible in full based on historic payment behaviour and extensive analysis of customer credit risk. The movement in allowance for credit losses has been disclosed at Note 28.

c) Liquidity risk

Liquidity risk concerns the ability of the Group to fulfil its financial obligations as they become due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group maintains a portfolio of short-term liquid assets, largely made up of bank balances and short term deposits to ensure that sufficient liquidity is maintained within the Group as a whole. The Group also arranges for overdraft facilities to ensure that the Group's financial obligations are met.

The Group's non derivative financial liabilities analyzed into relevant maturities based on remaining period to end of the contractual maturity date is as below. The amounts are gross and undiscounted and include interest payments.

5. FINANCIAL RISK MANAGEMENT (Continued)

The Group's risk management framework (continued)

c) Liquidity risk (Continued)

At 30 June 2018

	Less than 1 Year Kshs. "000"	Between 1 -5 Years Kshs. "000"	Kshs. "000"
Trade and Other Payables	5,768,397	-	5,768,397
Bank Overdraft	739,004	-	739,004
Term Loans	707,168	739,431	1,446,599
Obligations under Finance Lease	58,032	541,092	599,124
Interest Payable on Term Loans	127,059	32,662	159,721
Interest Payable on Leases	74,601	49,225	123,826
	7,448,059	**1,362,410**	**8,836,671**

At 30 June 2017

	Less than 1 Year Kshs. "000"	Between 1 -5 Years Kshs. "000"	Kshs. "000"
Trade and Other Payables	5,307,298		5,307,298
Bank Overdraft	523,258		523,258
Term Loans	434,853	602,679	1,037,532
Obligations under Finance Lease	361,345	262,643	623,988
Interest Payable on Term Loans	62,697	5,054	67,751
Interest Payable on Leases	52,487	11,487	63,974
	6,741,938	**881,863**	**7,623,801**

c) Equity Price Risk

The Group is not exposed to equity securities price risk since it does not have investments in quoted equity.

The Group's objectives when managing capital are to safeguard its ability to continue as a going concern and ultimately build an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the level of borrowings or equity or sell assets to reduce debt. The Group manages the following components as part of capital.

		Group		Company	
		2018	**2017**	**2018**	**2017**
	Notes	**Kshs. "000"**	**Kshs. "000"**	**Kshs. "000"**	**Kshs. "000"**
Share Capital	31	1,824,808	1,824,808	1,824,808	1,824,808
Reserves	32	(6,966,712)	(5,235,520)	(9,282,840)	(7,576,461)
		(5,141,904)	**(3,410,712)**	**(7,458,032)**	**(5,751,653)**

6. FAIR VALUE HIERACHY

a) Analysis of all assets and liabilities measured at fair value

The table below shows an analysis of all assets and liabilities measured at fair value in the financial statements or for which fair values are disclosed in the financial statements by level of the fair value hierarchy. These are Grouped into levels 1 to 3 based on the degree to which the fair value is observable at their carrying amounts.

- Level 1- fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2 -fair value measurements are those derived from inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices); and
- Level 3 -fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The table below shows the valuation technique used in level 3 fair value as well as significant unobservable inputs used.

Type	Valuation Technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurements
Property and equipment (buildings and land)	Market approach: The valuation model uses prices and other relevant information generated by market transactions involving identical or similar assets. The fair value is determined as the price that would be paid to sell the land and buildings in an orderly transaction to market participants	Property prices in the locality	The estimated fair values would increase / (decrease):- 1. If property prices near the location of the property were higher / (lower); 2. With improvements / (deterioration) in infrastructure development.
Investment property (Land)		Infrastructure developments	

Group

		Level 1	Level 2	Level 3
		Kshs. "000"	Kshs. "000"	Kshs. "000"
30-Jun-18				
	Property and Equipment	-	-	835,816
	Investment Property	-	-	2,600,000
				3,435,816
30-Jun-17				
	Property and Equipment	-	-	851,000
	Investment Property	-	-	2,600,000
				3,451,000

6. FAIR VALUE HIERACHY (Continued)

a) Analysis of all assets and liabilities measured at fair value (Continued)

Company

	2018	2017
	Kshs. "000"	Kshs. "000"
Property and equipment (Level 3)	835,816	851,000

Investment property and freehold land and buildings

The Group/Company's freehold land and buildings were valued on 12 June 2017, while the investment property was valued as at 30 June 2017. The valuations were based on market value.

The carrying amounts of the freehold land and buildings are adjusted to the revalued amounts and the resultant surplus net of deferred income tax is credited to the revaluation surplus in equity. The investment property is on LR No. 5875/2 (17.2 acres lease expiring in 2098) and LR No. 23393 (2.9 acres lease expiring in November 2018) while the freehold land and buildings on LR No 206/12593 measures 3.7 acres.

b) Fair value of the Group and Company financial instruments

The Group has not disclosed the fair value of short-term financial assets and financial liabilities as management assessed that the fair value of short-term financial liabilities and financial assets such as bank balances, trade receivables, amount due from related parties, trade payables, bank overdrafts and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

		2018 KShs "000"	2017 KShs "000"
7	**SALES**		
	Food	670,353	2,049,605
	Personal care	56,064	352,737
	General merchandise	109,459	142,698
	Textiles	7,959	42,199
	Others	3,802	-
		847,637	**2,587,239**
8	**COST OF SALES**		
	Food	558,043	1,680,432
	Personal Care	46,302	288,940
	General merchandise	88,700	109,437
	Textiles	5,916	59,273
	Others	3,348	-
		702,309	**2,138,082**
9	**OTHER INCOME**		
	Gain on disposal of Land and Building	-	328,747
	Specialty & Agency Commission	14,929	52,389
	Rental Income	65,265	63,997
	Gondola Income	7,006	-
	Parking Fee	3,266	2,518
	Miscellaneous Income	17,384	10,852
		107,850	**458,503**
10	**NON TRADING GAIN / (EXPENDITURE)**		
	Rent Discount	60,217	-
	Gain on Disposal of Fixed Asset	12,153	-
		72,370	**-**
11	**ADMINISTRATION COSTS**		
	Rent expense	465,485	491,872
	Rates & Service Charge	31,283	56,395
	Water & Electricity	85,014	126,228
	Motor running expenses	8,372	13,615
	Amortisation of intangible assets	3,828	3,825

	2018 KShs "000"	2017 KShs "000"
11 ADMINISTRATION COSTS (Continued)		
Amortisation of operating Lease	269	269
Depreciation	142,490	154,642
Bank Charges & Commission	4,548	11,729
Credit Card Commission	1,648	7,440
Computer Expenses	8,728	18,275
Insurances	3,082	21,293
CIT Cost	51,209	65,195
Repairs & Maintenance	8,673	16,772
	814,629	**987,550**

12 STAFF COSTS

	2018 KShs "000"	2017 KShs "000"
Salaries & Wages	576,934	705,513
Medical	3,139	19,071
Pension & Redundancy	63,425	44,871
Other	1,946	27,170
	645,444	**796,625**

The average number of employees engaged by the Group during the year was:

	Number	Number
Management staff	9	25
Other Staff	719	1,421
	728	1,446

13 GENERAL EXPENSES

	2018 KShs "000"	2017 KShs "000"
Internet, Postage & Telephone	2,213	10,080
Printing, Subscriptions and newspapers	2,604	2,526
Packaging materials	9,863	53,998
Laundry & Sanitary	2,762	3,476

13 GENERAL EXPENSES (Continued)

	Company 2018 KShs "000"	Company 2017 KShs "000"
Licences	8,616	11,649
Branch & Office	-	39,720
Generator fuel	14,138	9,979
Misc Shop Expenses	14,145	-
Distribution expenses	4,459	4,810
Non-deductible input tax	39,807	50,652
AGM Expenses	1,069	1,496
Other expenses	1,699	10,060
Directors Expenses	17,541	35,231
	118,916	**233,677**

14 LEGAL & PROFESSIONAL EXPENSES

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
Auditors' remuneration	580	15,528	580	12,155
Legal Expenses	37,785	131,503	13,372	131,503
Other Consultancies	8,078	24,804	7,678	24,804
	46,443	**171,835**	**21,630**	**168,462**

15 SELLING AND DISTRIBUTION

	Company 2018 KShs "000"	Company 2017 KShs "000"
Marketing Expenses	11,503	24,628

16 PROVISIONS AND WRITE OFFS

	Company 2018 KShs "000"	Company 2017 KShs "000"
Impairment of property and equipment	-	1,832
Provision for bad debts	67	34,989
Provision for fines and penalties	31,349	48,202
Stocks Write Off	12,956	-
Other provisions and write offs	(5,581)	192,552
	38,791	**277,575**

17 NET FINANCE COSTS

	2018 KShs "000"	2017 KShs "000"
Interest on Finance Lease	63,250	147,517
Interest on GOK Loan	105,704	26,034
Interest on Other Loans	166,514	143,233
Interest Income	(4,445)	(7,910)
Penalty on late loan repayment	49,992	-
	381,015	**308,874**

18 LOSS BEFORE TAX

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
The loss before tax is stated after charging:		-		
Impairment of receivables (Note 28)	1,614	9,818	1,614	9,818
Net Interest expense (Note 17)	381,015	282,833	381,015	282,833
Impairment on Property & Equipment (Note 21)	-	1,832	-	1,832
Depreciation on property and equipment (Note 21)	142,490	154,643	142,490	154,643
Amortisation of intangible assets (Note 23)	3,828	3,825	3,828	3,825
Amortisation of operating lease rentals (Note 24)	269	269	269	269
Auditors' remuneration (Note 14)	580	10,000	580	10,000
Directors' emoluments:				
As executives (Note 29(e))	8,944	31,931	8,944	31,931
As directors (Note 29(e))	8,597	3,300	8,597	3,300

19 TAXATION

(a) Statement of financial position

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
Income tax payable / (recoverable)				
Balance at 1st July	9,290	2,843	9,290	2,843
Tax charge for the year	-	7,231	-	7,231
Tax paid during the year	(63)	(784)	(63)	(784)
At 30th June	**9,227**	**9,290**	**9,227**	**9,290**

(b) Income Statement

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
Current tax:				
- Current year	-	17,194	-	7,194
- Prior year under / (over) provision	-	37	-	37
	-	**17,231**	**-**	**7,231**

	Group		Company	
	2018 KShs "000"	2017 KShs "000"	2018 KShs "000"	2017 KShs "000"

19 TAXATION (Continued)

(b) Income Statement (Continued)

Deferred tax (Note 26(b)):				
- Current year movement	226,671	10,000	226,671	-
Income tax credit	9,227	**9,290**	**9,227**	**9,290**

(c) Tax Reconciliation

Accounting loss before tax	**(1,803,563)**	**(1,889,731)**	**(1,778,750)**	**(1,889,731)**
Tax calculated at the rate of 30%		-		
- Business income	(541,069)	(566,919)	(533,625)	(566,919)
- Rental income	65,265	7,194	65,265	7,194
Effect of income taxed at 5%	-	(50,000)	-	-
Prior year over-provision	-	49,532	-	49,532
- Current tax	-	37	-	37
- Deferred Tax	260,142	-	260,142	-
Unrecognized deferred tax (Note 26)	226,671	509,577	226,671	509,577
	11,009	**(50,579)**	**18,453**	**(579)**

20 LOSS PER SHARE

Loss for the year	**(1,731,193)**	**(1,386,750)**	**(1,778,750)**	**(1,896,962)**
Number of ordinary shares	364,962	364,962	364,962	364,962
Loss per share - Kshs	(4.74)	(3.80)	(4.87)	(5.20)

21 PROPERTIES

(a) Property and Equipment

Group and Company	Buidings and Leasehold land KShs "000"	Improvements to Premises KShs "000"	Machinery KShs "000"	Vehicles and equipment KShs "000"	Total KShs "000"
30-Jun-18					
Cost or Valuation					
At 1st July, 2017	**851,000**	**379,987**	**685,435**	**1,069,050**	**2,985,472**
Additions	**-**	**-**	**-**	112	**112**
Disposals	-	-	(12,153)	-	**(12,153)**
At 30 June 2018:	**851,000**	**379,987**	**673,282**	**1,069,162**	**2,973,431**
Depreciation					
At 1st July, 2017	-	307,690	604,550	925,268	1,837,508
Disposals	-	-	(12,153)	-	(12,153)
Charge for the year	15,184	13,120	56,230	57,956	142,490
At 30 June 2018:	**15,184**	**320,810**	**648,627**	**983,224**	**1,967,845**
Carrying amount					
At 30th June, 2018	**835,816**	**59,177**	**24,655**	**85,938**	**1,005,586**

21 PROPERTIES

(b) Property and Equipment

	Buidings and Leasehold land KShs "000"	Improvements to Premises KShs "000"	Machinery KShs "000"	Vehicles and equipment KShs "000"	Total KShs "000"
30-Jun-18					
Cost or Valuation					
At 1st July, 2016	500,300	402,341	618,250	1,232,336	2,753,227
Reclassification Adjustment	-	(22,354)	70,719	(163,286)	(114,921)
Revaluation Surplus	350,700	-	-	-	350,700
Disposal	-	-	(3,534)	-	(3,534)
At 30th June, 2017	**851,000**	**379,987**	**685,435**	**1,069,050**	**2,985,472**
Depreciation					
At 1st July, 2016	18,966	298,540	516,964	1,007,945	1,842,415
Reclassification Adjustment	8,777	(3,970)	22,737	(140,633)	(113,089)
Charge for the year	15,184	13,120	68,383	57,956	154,643
Disposal	-	-	(3,534)	-	(3,534)
Impairment	-	-	-	1,832	1,832
Reversal of revaluation	(42,927)	-	-	-	(42,927)
At 30th June, 2017	**-**	**307,690**	**604,550**	**925,268**	**1,837,508**
At 30th June, 2017	**851,000**	**72,297**	**80,885**	**143,782**	**1,147,964**

21 PROPERTY AND EQUIPMENT (Continued)

Revaluation

The Group revalued its land and buildings on Property L.R Number 209/12596 on 12th June 2017 and recognised a revaluation surplus of KShs 393,627,000.The valuation techniques and the significant observable inputs used in measuring fair value are described in Note 6.

22 INVESTMENT PROPERTY

	Group	
	2018 KShs "000"	**2017 KShs "000"**
As at 1st July	2,600,000	2,400,000
Change in fair value during the year	-	200,000
As at 30th June	**2,600,000**	**2,600,000**

Investment properties relate to two pieces of land LR 5875/2 and LR 23393 held by the Company's subsidiary, Kasarani Mall Limited, under long-term lease arrangements with the Government of Kenya as disclosed under Note 6(a)(i). The land was valued at KShs 2.6 billion (2016 - KShs 2.4 billion) by Kiragu and Mwangi Limited, accredited independent valuers, as at 30 June 2017. The present value of the ground rent obligations is immaterial and has been ignored.

Valuation Assumptions

The lease relating to land LR 23393 (2.9 acres) expires in November 2018. The valuation at 30 June 2017 has assumed the lease will be renewed on expiry. The unobservable input used in the valuation methodology have been disclosed at Note 6(a)(i). The ownership of the property was the subject of a court case with Sidhi Investment Limited. The status of the case has been disclosed at Note 40.

		2018 KShs "000"	2017 KShs "000"
23	**INTANGIBLE ASSETS**		
	Cost		
	At 1 July	**377,933**	**377,933**
	Amortisation		
	At 1 July	**372,696**	**368,871**
	Additions	3,828	3,825
	At 30th June	**376,524**	**372,696**
	Net carrying amount		
	At 30th June	**1,409**	**5,237**

		2018 KShs "000"	2017 KShs "000"
24	**PREPAID OPERATING LEASE**		
	Cost		
	At 1 July	**18,034**	**18,303**
	Amortisation for the year	(269)	(269)
	At 30th June	**17,765**	**18,034**

Prepaid operating leases relate to Land Parcel Number 209/12596 held by the company under a long-term lease arrangement, with the Government of Kenya. The remaining lease period is 77 years. The leasehold is subject to a first charge as disclosed in note 33.

25 INVESTMENT IN SUBSIDIARIES

Kasarani Mall Ltd

Country of Incorporation - Kenya

Shareholding - 100%

	2018 KShs "000"	2017 KShs "000"
Investment (Cost)	200	200

26 DEFERRED TAX

(a) Unrecognised deferred tax asset

A deferred tax asset is recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The accumulated tax losses will be utilised to offset future taxable profits.

The Group did not recognise deferred tax asset in the financial statements since the directors are of the view that future taxable income may not be sufficient to enable the Group and Company to utilise the deferred tax asset and/or tax losses may expire before they are utilised.

At 30 June 2018

Group and Company At 30th June, 2018	1-Jul-17 KShs "000"	Movement through OCI KShs "000"	Movement through Profit Or Loss KShs "000"	30th June KShs "000"
Tax losses carried forward	1,447,118	-	(154,163)	1,292,955
Property and equipment	112,434	-	(24,771)	87,663
Revaluation reserve	(424,000)	226,671	-	(197,329)
Other temporary differences	190,129	-	-	190,129
Net deferred tax asset	**1,325,681**	**226,671**	**(178,934)**	**1,373,418**

At 30 June 2017

Group and Company At 30th June, 2017	1-Jul-16	Movement through OCI KShs "000"	Movement through Profit Or Loss KShs "000"	30th June KShs "000"
Tax losses carried forward	965,294	-	481,824	1,447,118
Property and equipment	101,646	-	10,788	112,434
Revaluation reserve	(305,912)	(118,088)	-	(424,000)
Other temporary differences	173,164	-	16,965	190,129
Net deferred tax asset	**934,192**	**(118,088)**	**509,577**	**1,325,681**

(b) Recognised deferred tax liability

Group	1st July Kshs "000"	Derecognised Kshs "000"	Movement thro P&L Kshs "000"	30th June Kshs "000"
At 30th June, 2018				
Investment Property - fair value	(125,750)		-	(125,750)
Net deferred tax liability	**(125,750)**	**-**	**-**	**(125,750)**
At 30th June, 2017				
Investment Property - fair value	(115,750)	-	(10,000)	(125,750)
Net deferred tax liability	**(115,750)**	**-**	**(10,000)**	**(125,750)**

26 DEFERRED TAX (Continued)

(c) Tax losses

The Group and Company has tax losses carried forward of KShs KShs 7,015,578,208 (2017 – KShs 5,282,023,120). The aging of tax losses was as below at 30 June 2018.

Year of Origin	Amount Kshs
2010	465,525,069
2015	1,057,421,083
2016	2,160,224,862
2017	1,598,852,106
2018	1,733,555,088
	7,015,578,208

27 INVENTORIES

	2018 KShs "000"	2017 KShs "000"
Food	14,740	74,700
Non-food	12,584	96,246
Other	39,005	12,459
	66,329	183,405
Stock provision	(16,206)	(28,946)
	50,123	**154,459**

The stock provision amount was recognized as an expense for inventories carried at the lower of cost and net realisable value.

28 TRADE AND OTHER RECEIVABLES

	2018 KShs "000"	2017 KShs "000"
Trade receivables	110,071	74,982
Prepayments and others	119,854	64,338
Cash deposit	-	256,800
At 30 June	**229,925**	**396,120**

28 TRADE AND OTHER RECEIVABLES (Continued)

	Company 2018 KShs "000"	Company 2017 KShs "000"
Ageing of trade receivables		
Not Impaired	11,566	40,510
Impaired - Over 60 days	170,842	105,195
	182,408	145,705
Allowances for credit losses	(72,337)	(70,723)
Movement in credit losses	**110,071**	**74,982**
Movement in credit losses		
At 1 July	**70,723**	**74,982**
Increase during the year	1,614	9,818
	72,337	**70,723**

The above trade receivables have no collateral, are non - interest bearing and are generally on 30-60 days term. All trade receivables above 60 days are deemed past due and are assessed as impaired.

29 RELATED PARTY TRANSACTIONS

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
(a) Due from Related Parties				
Kasarani Mall Ltd	-	-	133,503	133,103
Sitatunga Limited	501	501	501	501
	501	**501**	**134,004**	**133,604**

The balance due from Kasarani Mall Ltd relates to purchase and maintenance costs of the investment property.

	Company 2018 KShs "000"	Company 2017 KShs "000"
(b) Related party purchases	NIL	NIL

	Company	
	2018	2017
	KShs "000"	KShs "000"

29 RELATED PARTY TRANSACTIONS (Continued)

(c) Related party sales

Related party sales - Uchumi SM	NIL	NIL

(d) Related party loans

ICDC – Loan (Note 33)	105,177	91,725

Industrial and Commercial Development Corporation (ICDC) owns 2% of the shares in Uchumi Supermarkets PLC.

The Company has an existing loan from Industrial and Commercial Development Corporation (ICDC) advanced in 2013 at a fixed rate of 16%.

(e) Directors emoluments

Executive Directors	8,944	31,931
Non - Executive Directors	8,597	3,300
	17,541	**35,231**

(f) Rental Income

The Company has leased out a godown space to Equatorial Industrial Solutions Ltd .The total rental income earned from this account for the year ended 30 June 2018 is KShs 2,064,904. Equatorial Industrial Solutions Limited is related to Uchumi Supermarkets Plc through John Karani who is also a director and shareholder of Uchumi Supermarkets Plc.

30 CASH AND CASH EQUIVALENT

For the purposes of the statement of cash flows, cash and cash equivalents comprise the following at 30 June:

Cash on Hand	440	2,221
Bank Balance	11,713	2,745
	12,153	4,966
Bank Overdraft	(739,004)	(523,258)
At 30 June	**(726,851)**	**(518,292)**

The overdraft was issued by Kenya Commercial Bank and is secured by a first charge on freehold property Land Reference Number 209/399/3.

31 SHARE CAPITAL

	Company 2018 KShs "000"	Company 2017 KShs "000"
Authorised		
500,000,000 ordinary shares @ KShs 5		
25,000,000 redeemable preference @ KShs 20	500,000	500,000
	2,500,000	**2,500,000**
Issued and fully paid		
364,961,594 ordinary shares of KShs 5 each	**1,824,808**	**1,824,808**

At 30 June 2018 and 30 June 2017 there were 25,000,000 authorized but not issued redeemable preference shares. Each share has a par value of KShs 20.

The Group's objectives when managing capital are to safeguard its ability to continue as a going concern and ultimately build an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the level of borrowings or equity to reduce debt.

32 RESERVES

	Group 2018 KShs "000"	Group 2017 KShs "000"	Company 2018 KShs "000"	Company 2017 KShs "000"
Retained earnings-(deficit)	(9,093,338)	(7,362,145)	(11,409,466)	(9,703,086)
Share premium	1,371,057	1,371,057	1,371,057	1,371,057
Revaluation reserve	755,569	755,569	755,569	755,569
	(6,966,712)	**(5,235,519)**	**(9,282,840)**	**(7,576,460)**

Share premium

The share premium arose from issuance of shares at a premium as shown below

Years of Issue	Premium Per Share (Kshs)	Share Premium KShs "000"
2014	4	398,140
2011	5	427,133
2005	4.5	545,784
		1,371,057

Revaluation Reserve - The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

33 TERM LOANS

	2018 KShs "000"	2017 KShs "000"
Non-current		
Government of Kenya Loan	1,114,286	500,000
United Bank of Africa (UBA)	51,652	102,679
	1,165,938	**602,679**
Current		
Government of Kenya Loan	217,613	-
United Bank of Africa (UBA)	117,592	343,128
Industrial and Commercial Development Corporation (ICDC)	105,177	91,725
	440,382	**434,853**
Total borrowings	**1,606,320**	**1,037,532**

The movement in term loans during the year was as follows

	2018 KShs "000"	2017 KShs "000"
At 1 July	**1,037,532**	**361,710**
Additions	700,000	963,960
Accrued Interest	111,355	32,503
Repayments	(242,567)	(320,641)
At 30 June	**1,606,320**	**1,037,532**

(a) ICDC Loan

The loan is secured by a first charge on leasehold property Land Reference number 209/12593 (Langata Hyper, Langata road).

The loan attracts interest at the revisable base rate of 16% per annum and fell due on 30 June 2017.

(b) KCB Bank facilities

The overdraft facility is secured by:

- Deed of negative pledge dated 3 February 2014 not to obtain credit facilities from another bank and pledge company's assets to secure a facility;
- Deed of negative pledge dated 28 July 2015 by the company in favour of the bank over all its assets present and future;
- Undertaking to channel business proceeds through KCB Account dated 12 January 2015.
- Master operating lease agreement dated 14 January 2015 between Uchumi Supermarkets and Rentco EA Ltd;
- Operating lease agreement dated 8 January 2015 between Uchumi Supermarkets and Rento EA Ltd for KShs 1,110,514,526;
- Undertaking dated 12 January 2013 to deposit daily sales in current account 1117699587 and process payments to suppliers;

33 TERM LOANS (Continued)

(b) KCB Bank facilities (Continued)

• Rental facility dated 12 January 2015 between Uchumi Supermarkets and Rentco EA Ltd channelling business proceeds through the Uchumi supermarkets bank A/C with KCB;

• Facility agreement dated 22 June 2015 by borrower, KCB (Uganda) Ltd (as a lender) and KCB Ltd (as a security Agent);

• Director's resolution dated 8 January 2015 authorizing lease arrangement with Rentco EA Limited;

• Board resolution by the borrower for KShs 1,278,177,361 dated 20 January 2016; and

• Board resolution by the borrower authorizing facilities and security arrangements dated 10 November 2016.

The overdraft facility was made available to Uchumi until 30 November 2016, this has not been reviewed by the bank, the bank can demand payment at any time after the 30 November 2016 due date. In 2016 the rate of the overdraft facility was KBRR plus a variable margin of 8.37% subject to a floor of 18.24%. The rate is currently 14%.

('c) UBA Loans

The loan is secured by:

□ Registered Charge for the sum of KShs 250 million dated 31 March, 2016 registered at the Land Titles Registry as IR 66890/10 and at the Companies Registry on 8th February, 2016;

□ Registered Debenture dated 14 June, 2016 over the Borrower's assets for the sum of KShs 303 million; and

□ Partially registered Further Legal Charge dated 14 June, 2016 over property LR No. 209 /12593 for the sum of KShs 300 million ranking pari passu with the charge securing facilities over the same property issued in favour of ICDC.

The loan was advanced in March 2016 for a period of 24 months. The current rate for the loan is 14% (2016 – 8.63% plus the prevailing KBRR).

(d) Government of Kenya Loan

The loan was disbursed on 19 January 2017 and is for a period of 7 years and an interest rate of 11.5% per annum on a reducing balance basis. The loan is charged to the land LR No. 5875/2 and 23393 on Thika Road measuring 20 acres by way of first floating charge. The loan has a grace period of 24 months after which repayments commence.

34 FINANCE LEASES

	Company	
	2018 KShs "000"	2017 KShs "000" Restated
At 1st July	**623,988**	**798,865**
Additions in the year	111,617	147,517
Repaid in the year	(12,655)	(322,394)
At 30 June	**722,950**	**623,988**

The commercial leases are on property plant and machinery. The leases have an average life of four years. There are no restrictions placed on the group by entering into these leases.

35 TRADE AND OTHER PAYABLES

	Group		Company	
	2018 KShs "000"	2017 KShs "000"	2018 KShs "000"	2017 KShs "000"
Trade payables	4,665,699	4,012,451	4,641,280	4,012,451
Accrued expenses	1,100,913	1,294,846	1,100,913	1,294,840
Others	1,785	-	1,785	-
At 30 June	**5,768,397**	**5,307,297**	**5,743,978**	**5,307,291**

36 DEFERRED REVENUE

At 1st July	84,843	25,581
Deferred during the year	2,875	59,262
At 30 June	**87,718**	**84,843**

Deferred revenue is the fair value of the consideration received from customer's loyalty points. The redemption of loyalty points was suspended in the year that ended on 30th June, 2017.

37 SHAREHOLDERS

The top ten shareholders and number of shares held as at 30 June 2018 is as below

Name of Shareholder	Percentage	Number of Shares
Jamii Bora Bank Limited	14.9%	54,409,539
Government Of Kenya	14.7%	53,537,573
Equity Nominees Limited A/C0142	5.8%	21,219,898
Paul Wanderi Ndungu	4.6%	16,869,272
Standard Chartered Nominees Non-residents. A/C Ke8723	3.9%	14,058,020
Standard Chartered Nominees Limited Non-residents A/Cke11663	3.7%	13,371,407
Brunei Investment Limited	3.5%	12,830,103
Standard Chartered Nominees Non-residents. A/C 9289	3.2%	11,800,000
Co-Op Custody A/C 4018	2.3%	8,402,800
Standard Chartered Nominees Non-residents. A/C 9913	2.2%	8,166,000
Others	41.2%	150,296,982
		364,961,594

38 CAPITAL COMMITMENTS

There were no capital commitments as at 30 June 2018 (2017: Nil)

39 EVENTS AFTER THE REPORTING PERIOD

(a) Sidhi Investment Limited

Sidhi Investment Limited in 2005 filed a suit against Uchumi Supermarkets Plc and Kasarani Mall Limited for specific performance, arising from a contract for the sale of the Investment Property disclosed at Note 22. In 2018, the Plaintiff, Defendants and Kenya Commercial Bank entered into a tripartite agreement towards the settlement of the Plaintiff's claim. It was agreed that the claimant was to receive a third of the proceeds to be realized upon the sale of the subject property.

(b) Company Voluntary Arrangement (CVA)

On 26th September, 2019, Insolvency Petition Number 25 of 2018 against the company was marked as settled consequent to the Court's approval of the Company's Voluntary Arrangement ("CVA") entered into with creditors, dated 2nd March, 2020. The fulfilment of the Arrangement depends on successful disposal by the Company of the Investment Property disclosed in Note 22 and on the settlement of part of the outstanding debts, in accordance with the CVA.

(c) Kenya Defence Force

In 2019, Kenya Defence Forces forceffuly entered the Investment Property disclosed in Note 22 and claimed ownership. In 2022, the Company instituted Case Number ELC E010 of 2022 against the trespasser and other parties. On 19th May, 2025 judgment was entered against the Company. Among other things, the Company's certificate of title was cancelled. The Company has appealed against the judgement. The Directors are confident of a positive outcome of the appeal and believe the investment property is not impaired as a result of the said judgement.

40 CONTINGENT LIABILITIES

In the ordinary course of business, the Group and Company are subject to various litigations claims by employees, landlords and other parties. The Directors have made adequate provisions for claims that are likely to crystallise.

The Directors are not aware of other significant contingent liabilities that would require disclosure in the financial statements.

41 OPERATING LEASE COMMITMENTS

The operating lease rentals are payable as follows:

	2018 KShs "000"	2017 KShs "000"
Less than one year	197,924	268,228
Between 1 and 5 years	373,837	791,327
Over 5 years	-	42,981
	571,761	**1,102,536**

The group leases a number of branches and office premises under operating leases. The leases typically run for a year up to ten years, with an option to renew the lease after that date. Lease payments are increased accordingly to reflect market rentals. The amounts expensed during the year have been disclosed under Note 11 as rent expense.